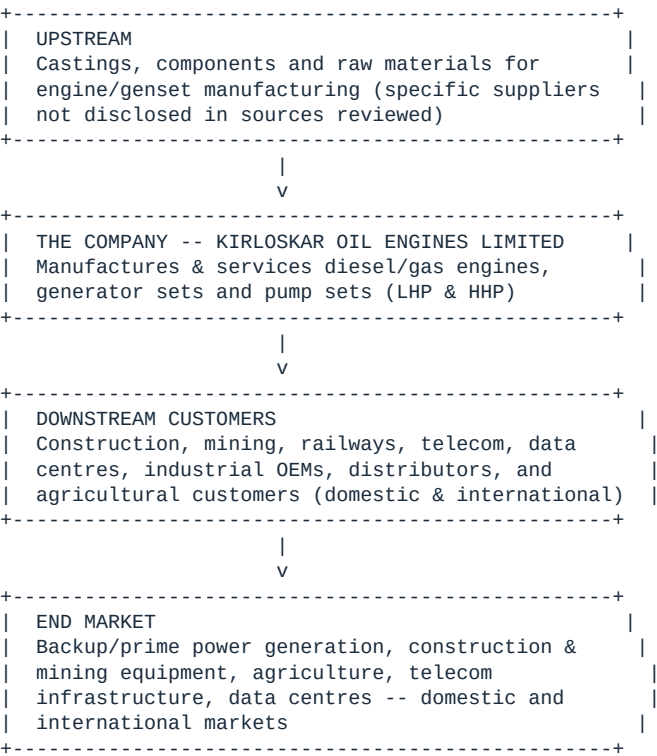


Kirloskar Oil Engines Limited

Kirloskar Oil Engines Limited (KOEL), a flagship company of the Kirloskar Group, manufactures and services diesel engines, diesel generator sets, and pump sets for power generation, industrial and agricultural applications, and is among the top 10 manufacturers globally by volume in the industrial and Powergen space. It is listed on the BSE (533293) and NSE (KIRLOSENG). As of 10 July 2026 it had a market capitalization of approximately Rs. 36,259 crore (screener.in). KOEL also owns Arka Fincap Limited, a non-banking financial company (NBFC), whose lending book is consolidated into group results alongside the core engine business.

Value Chain Positioning

KOEL designs, manufactures and services diesel/gas engines and generator sets, selling through two broad routes: a B2B/OEM channel (Power Gen, Industrial, Distribution & Aftermarket, and international business units) to construction, mining, railways, telecom, data-centre and industrial customers, and a B2C/agricultural pump-set business. Upstream inputs (castings, components) were not detailed in the sources reviewed. The company is expanding into higher-value "HHP" (high-horsepower) engines and "Optiprime" products aimed at large data-centre and industrial back-up power applications, alongside its traditional lower-horsepower ("LHP") engine range. Separately, group subsidiary Arka Fincap operates a non-banking financial services business (lending), which is a distinct downstream value chain from the core engine-manufacturing business and is consolidated into KOEL's group financials.



(Note: KOEL also owns Arka Fincap Limited, an NBFC, which sits in a separate financial-services value chain and is not depicted in the diagram above — see Company Summary.)

Near Term (Next 1 to 2 Quarters)

- Record Q4 and FY26 Standalone Sales Delivered [Delivered]**: Q4 FY26 standalone sales reached an all-time high of Rs. 1,522 crore (+24% YoY), closing the full year at standalone net sales of Rs. 5,604 crore (+25% YoY). "achieving the highest-ever quarterly sales of INR1,522 crores for the standalone operations, registering 24% growth year-on-year"

- **Construction & Mining Softness Framed as Temporary** [Pending]: Management characterized a slowdown in the Construction & Mining segment as short-lived rather than structural. "Construction & Mining segment was a bit slow this quarter, but we see it as a temporary [phenomenon]" (Q3 FY26 concall)

Medium Term (6 to 12 Months)

- **HHP / Optiprime Momentum Expected to Continue** [Pending]: Management expects continued strength in the high-horsepower (HHP) Power Gen segment, where it has already sold units up to 3,000 kVA and "a few hundred" Optiprime units. "So we do believe that we will continue to grow stronger there."
- **50,000-Engine Kagal Capacity Expansion** [Pending]: A Rs. 700cr capacity expansion (new lines within the existing Kagal plant) for 50,000 additional engines is expected online by around April 2027. "that's coming online by April of next year and 50,000 engines."

Long Term (1+ Years)

- **USD 2 Billion Revenue Milestone Reiterated** [Pending]: Management reiterated its long-standing commitment to an overall USD 2 billion revenue milestone, with no specific target year disclosed in the sources reviewed. "our guidance overall, we remain committed to the 2 billion guidance and industrial and aftermarket have an important role to play as we move and progress towards the 2 billion milestone."
- **20,000-Engine Kagal Expansion (New Building)** [Pending]: A further Rs. 1,400cr investment over the next two years (FY27-28) will fund a new building and new lines at the Kagal site for 20,000 additional engines, weighted toward HHP and international-market products. "we are investing close to INR1,400 crores on that. So that will be our capital allocation for this next two years."
- **LHP Business Growth In Line With or Ahead of Industry** [Pending]: Despite a high base, management remains committed to its traditional lower-horsepower (LHP) engine business growing at or above industry rates into FY27. "So, this will grow in line, or maybe a little better than the industry growth for this year also, FY27."

Marquee & Niche Customers

No individually named marquee customers were disclosed in the sources reviewed — KOEL sells through OEM/distributor and direct B2B channels across construction, mining, railways, telecom, and data-centre segments rather than disclosing specific end-customer names on its concalls. **Niche positioning:** the company describes itself as a top-10 global manufacturer by volume in the industrial and Powergen space, having sold over 1 million pumps in FY26 and crossed Rs. 1,000cr in gross international sales for the first time. No customer-concentration percentage was disclosed. **Customers' own guidance:** not applicable/not found, given the absence of named customers in the sources reviewed.

Capex, Milestones & Certifications Timeline

Date/Quarter	Milestone	Status	Amount	Source
Jan 2025	Mandatory emission-standard shift, CEV BS-IV to BS-V, drove replacement demand in construction segment	Achieved (industry event)	—	Q4 FY26 concall, 14 May 2026
FY26 (full year)	International business crossed Rs. 1,000cr in gross sales for the first time; over 1 million pumps sold	Achieved	Rs. 1,000cr+	Q4 FY26 concall, 14 May 2026

Date/Quarter	Milestone	Status	Amount	Source
~Apr 2027	Kagal plant capacity expansion — 50,000 additional engines (new lines, existing plant)	Planned	Rs. 700cr	Q4 FY26 concall, 14 May 2026
FY27-FY28	Kagal plant capacity expansion — 20,000 additional engines (new building + lines, HHP/international-weighted)	Planned	Rs. 1,400cr	Q4 FY26 concall, 14 May 2026

No specific certification standard with a certification date was found in the sources reviewed, beyond the CPCB/CEV emission-standard compliance context noted above (an industry-wide regulatory requirement, not a company-specific certification).

Financial Performance Summary

Fiscal Year	Revenue (Rs. cr)	YoY Growth	EBITDA Margin	PBT (Rs. cr)	PAT (Rs. cr)	PAT Margin
FY22	4,022	—	10%	232	171	4.3%
FY23	5,020	+24.8%	15%	449	332	6.6%
FY24	5,898	+17.5%	17%	595	440	7.5%
FY25	6,349	+7.6%	19%	652	476	7.5%
FY26	7,701	+21.3%	18%	761	562	7.3%

Source: screener.in **consolidated** results — this includes Arka Fincap (NBFC) alongside the core engine business. For reference, the core **standalone** engine business alone delivered FY26 net sales of Rs. 5,604cr (+25% YoY), per the Q4 FY26 concall — the ~Rs. 2,100cr gap versus the consolidated figure above is predominantly attributable to Arka Fincap and other subsidiaries, which have a fundamentally different revenue nature (NBFC interest/fee income) from engine sales.

Segment-wise Performance

Table 1 — Q4 FY26, by business unit, standalone B2B (Q4 FY26 concall, 14 May 2026):

Segment	Q4 FY26 Revenue (Rs. cr)	YoY Growth
Power Gen	708	+30%
Industrial	371	+24%
Distribution & Aftermarket	281	+20%
International (B2B)	162	not separately given

Table 2 — FY26 full year (Q4 FY26 concall, 14 May 2026):

Segment	FY26 Revenue (Rs. cr)	YoY Growth
Industrial	1,444	+22%
Power Gen	not disclosed in absolute terms	+32%

Segment margin was not separately disclosed for any business unit in the sources reviewed.

Order Book

Not applicable in the traditional sense — KOEL's business is high-volume engine/genset manufacturing rather than large discrete project awards, and no order-book figure (backlog of contracted-but-unexecuted work) was disclosed in the sources reviewed. Forward demand is instead framed through revenue growth guidance/targets (see Near/Medium/Long Term outlook above) and segment growth rates.

Manufacturing Locations & Physical Assets

The Kagal plant (Maharashtra) is the facility explicitly named in the sources reviewed, currently undergoing two capacity expansions (50,000 engines via new lines in the existing plant, and a further 20,000 engines via a new building on the same site — see Capex/Milestones above). No other specific plant locations, ownership status, or built-up area figures were disclosed in the sources reviewed for this report.

Capacity Utilization & Headroom

No current capacity utilization percentage was disclosed in the sources reviewed. The two Kagal expansions in progress (Rs. 700cr for 50,000 engines by ~April 2027, Rs. 1,400cr for a further 20,000 engines over FY27-28) imply management sees a need for additional capacity ahead of demand, but no before/after utilization figures were given.

Total Addressable Market (TAM)

No specific TAM figure (market-size number) was disclosed in the sources reviewed for KOEL's core engine business. Separately, third-party industry research puts the India diesel generator market at approximately USD 1.24-1.33 billion (2025-26), growing at a ~7% CAGR, with units in the 375-750 kVA range (relevant to KOEL's HHP push) growing faster (~8.75% CAGR) on data-centre and large-construction demand — cited here as external market-sizing context, not a company-disclosed TAM figure.

Valuation — Forward PE

Not included. Management did not give an explicit forward revenue guidance figure for a specific period (FY27 or otherwise) in the sources reviewed — only a long-term, undated USD 2 billion company-wide milestone and various segment-level growth-rate commentary, neither of which meets the bar of "explicit forward revenue guidance for a defined period" needed to compute a meaningful forward PE per this report's own methodology. A forward PE built on FY26 actuals treated as a stand-in for FY27 guidance would misrepresent an assumption as guidance, so it is omitted rather than presented misleadingly.

Industry Tailwinds / Headwinds

Tailwinds

- **CPCB IV+ emission-norm tightening is driving premiumization:** OEMs with certified emission-control technology (electronic fuel injection, SCR, diesel particulate filters) are advantaged as compliance requirements reduce NOx/PM emissions by ~90% — directly relevant to KOEL's HHP/Optiprime product push. (Source: industry sector coverage, 2026)
- **Data-centre and large-construction demand:** gensets in the 375-750 kVA range (relevant to KOEL's HHP segment) are growing faster than the broader genset market on hyperscale data-centre and large-project demand. (Source: industry sector coverage, 2026)
- **CEV BS-IV to BS-V emission-standard shift (Jan 2025)** drove a replacement-demand cycle in the construction segment, which management flagged as the primary growth driver behind recent construction-segment strength.

Headwinds

- **Compliance cost inflation:** CPCB IV+ compliance reportedly adds 15-20% to factory cost and raises five-year total ownership cost by up to 18% due to SCR/DPF requirements — a cost management must absorb or pass through across the industry, not unique to KOEL.
- **Construction & Mining segment softness** in the most recent quarter reported, though management characterized this as temporary (see Near Term outlook above).

Technical Snapshot

(As of late May-early July 2026 — dates vary by data point below; this section goes stale within days, re-check before relying on it if this report is more than a week old.)

- Current price: Rs. 2,492 (screener.in, 10 Jul 2026).
- RSI: ~74 as of early July per one source (no extreme-overbought flag stated), signalling continued momentum without an explicit overbought warning.
- Price trading above the 5, 20, 50, 100 and 200-day moving averages; weekly and monthly MACD bullish.
- The stock hit a fresh 52-week/all-time high of Rs. 1,854.25 on 29 May 2026 — note the current price of Rs. 2,492 is well above this stated high, implying the stock continued rallying substantially between late May and 10 July 2026; the Rs. 1,854.25 figure should be treated as stale relative to the current price.
- 1-year return: approximately +108% (as of early July 2026 sourcing).

Promoter / Governance Track Record

Only one guidance-vs-actual-style item has enough history to assess so far (first research run for this company): the Industrial segment's FY26 delivery of Rs. 1,444cr (+22%), a completed outcome. There is not yet a multi-quarter track record to characterize a broader pattern.

Shareholding: Promoter shareholding stood at 41.08% as of March 2026 (screener.in), down from 59.33% in March 2017 — a long-run decline over roughly nine years. No share pledge was shown in the sources reviewed, and no explanation for the multi-year decline was found — the fact is stated without speculation on cause.

Promoter Fund Raises: No promoter/promoter-group preferential allotment, warrant issue, or promoter loan was found in the sources reviewed for this report.

Credit Rating Snapshot: CRISIL Ratings reaffirmed CRISIL AA+/Stable on KOEL's bank facilities and CRISIL A1+ on its commercial paper programme on 18 July 2025 — the strongest credit rating among the companies covered in this research series to date. No downgrade or negative/watch-negative outlook is currently in force.

Legal & Litigation: No specific litigation, tax dispute, or regulatory/arbitration matter was found for Kirloskar Oil Engines in the sources reviewed for this report — annual report contingent-liability details were not directly retrieved in this run. This is stated as a gap in available sourcing rather than a confirmation that no such matters exist.

Subsidiary note (Arka Fincap): as of 31 March 2026, Arka Fincap's Gross NPA stood at 1.2% and Net NPA at 0.3% (both broadly stable versus the prior quarter, with GNPA down in absolute terms), on an Assets Under Management base of approximately Rs. 7,600cr, per management commentary on the Q4 FY26 call.

Key Risks

- **Consolidated financials blend two different businesses:** KOEL's consolidated revenue and margins include Arka Fincap, an NBFC with a fundamentally different risk profile (credit/asset-quality risk) from the core engine-manufacturing business — readers should be careful not to apply engine-business-style analysis (e.g. capacity utilization, order books) to the consolidated numbers without adjusting for this.
- **Large, concurrent capex programme:** Rs. 700cr and Rs. 1,400cr capacity expansions at the same Kagal site (Rs. 2,100cr combined, phased through FY27-28) represent significant execution risk if demand growth or HHP/Optiprime adoption does not materialize as expected.

- **Declining, though still-majority, promoter holding:** a long-run decline from 59.33% (Mar 2017) to 41.08% (Mar 2026) — no explanation found in the sources reviewed.
- **Segment softness precedent:** the Construction & Mining segment's recent slowdown (management-characterized as temporary) is a reminder that KOEL's growth, while broad-based, is not immune to cyclical segment-level weakness.
- **CPCB IV+ compliance cost inflation** is an industry-wide cost pressure that could compress margins if not fully passed through to customers.
- **NBFC subsidiary asset-quality risk:** while Arka Fincap's GNPA/NNPA metrics (1.2%/0.3%) appear stable, an NBFC lending book carries inherent credit-cycle risk distinct from and additive to the core business's risks.

Research summary of publicly available information only — the Q3 FY26 and Q4 FY26 concall transcripts, screener.in, CRISIL Ratings rationale, and third-party industry coverage as cited inline. This is not investment advice; consult a SEBI-registered investment advisor before making any financial decision.